

in the form of daily changing quotations. There is indeed enough sound sense and selective judgment in the market's activities to create on most occasions some degree of correspondence between market price and ascertainable or intrinsic value. In particular, as was pointed out in Chap. 4, when we are dealing with something as elusive and nonmathematical as the evaluation of future prospects, we are generally led to accept the market's verdict as better than anything that the analyst can arrive at. But, on enough occasions to keep the analyst busy, the emotions of the stock market carry it in either direction beyond the limits of sound judgment.

Opportunities in Normal Markets. During the intermediate period, when average prices show no definite signs of being either too low or too high, common stocks may usually be found that seem definitely undervalued on a statistical basis. These generally fall into two classes: (1) Those showing high current and average earnings in relation to market price and (2) those making a reasonably satisfactory exhibit of earnings and selling at a low price in relation to net-current-asset value. Obviously, such companies will not be large and well known, or else the trend of

Group A. Common Stocks Selling at the End of 1938 or 1939 at Less than 7 Times Past Year's Earnings and also at Less than Net Current Asset Value

Company	Year taken	Price Dec. 31	Earnings for year per share	Average earnings 1934-1938 or 1934-1939 per share	Net current asset value per share	Net tangible asset value per share
J. D. Adams Mfg.	1938	8	\$1.15	\$1.20	\$12.07	\$14.38
American Seating	1939	10 ¹ / ₄	1.82	1.75	11.42	23.95
Bunte Bros.	1938	10	2.10	2.14	12.84	27.83
Grand Union	1939	10	1.80	1.25	13.60†	20.00†
International Silver	1939	26 ³ / ₄	4.98	def 0.10	39.67	97.50
I. B. Kleinert	1938	8 ¹ / ₂	1.27	0.80	11.04	16.90
New Idea	1939	12 ¹ / ₈	2.18	1.78	13.44	16.02
*N. Y. Merchandise	1939	7 ³ / ₄	1.44	1.44	11.66	14.05
*Pacific Commercial	1938	11 ¹ / ₂	2.31	2.77	24.18	27.74
Seton Leather	1938	6 ¹ / ₄	1.38	0.94	8.38	11.27

* These stocks belong also in Group B.

† Partly estimated.